23AVCV00585 23AVCV00585

County: los-angeles

Division: Civil Law and Motion

Department: A14

Hearing date: 2026-06-30

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=ATP%2CA14%2C06%2F30%2F2026

Source SHA-256: 4fe69dcdc281d17d4e7534e474d455e877904524917dcf33ff55f3772d503d94

Case Number: 23AVCV00585 Hearing Date: June 30, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

TYKESE DAVIS, an individual; TYKESE

DAVIS, successor in interest of decedent

ANNA COTTON; ERIC TERELL DAVIS,

an individual; ERIC TERELL DAVIS,

successor in interest of decedent ANNA

COTTON,

Plaintiffs,

v.

LANCASTER INN, unknown entity; AJAY

H. PATEL and JAGRUTI A. PATEL,

trustees of the SHIVRANI TRUST, dated

July 9, 2018; and Does 1 to 50, inclusive, Defendants.

AJAY H. PATEL and JAGRUTI A. PATEL, trustees of the SHIVRANI TRUST, dated July 9, 2018,

Cross-Complainants,

v.

CHAMUNDA LLC, Roes 1 through 50,

inclusive.

Cross-Defendants.

Case Number 23AVCV00585

[TENTATIVE]

STATEMENT OF DECISION

Date of Hearing: June 30, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a wrongful death case arising from a January 18, 2023 incident at the Lancaster Inn which resulted in the death of Decedent Anna Cotton. On the date of the incident, a group of unidentified individuals entered the motel room of Anna Cotton, physically assaulted her, and intentionally set her on fire, resulting in her death being ruled a homicide. At the time, the subject property was owned by Defendants and Cross-Complainants Ajay H. Patel and Jagruti A. Patel and was being leased to Cross-Defendant Chamunda.

On May 31, 2023, Plaintiffs Tykese Davis and Eric Terell Davis (Plaintiffs) filed their complaint against Defendants Lancaster Inn, Ajay H. Payel, and Jagruti A. Patel (Defendants), asserting a cause of action for wrongful death based in negligence and premises liability. Plaintiffs allege that their mother, Decedent Anna Cotton (Decedent), was lawfully on the Lancaster Inn property (Property) in her hotel room when a number of separate and distinct conditions caused and contributed to her death, including a fire that broke out and spread throughout her hotel room. (Compl, ¶ 13.) Plaintiffs further allege the Property was not properly maintained, cleaned, or protected, which caused Decedent's death. (Compl. ¶ 14.) Plaintiffs' claim Decedent's death was a proximate result of the breach of duty and wrongful acts and omissions of the Defendants. (Compl., ¶ 15.)

On February 28, 2024, Defendants Ajay Patel and Jagruti Patel (Cross-Complainants) answered the complaint and filed a cross-complaint for (1) express indemnity, (2) equitable indemnity, (3) declaratory relief, and (4) breach of contract against

Cross-Defendants Chamunda, LLC (Chamunda).

On May 17, 2024, Cross-Complainants filed their first amended cross-complaint (FACC) asserting the same causes of action.

On August 6, 2024, the Court sustained Chaunda's demurrer with leave to amend as to Cross-Complainants first, second, and third causes of action.

On the same date, Cross-Complainants filed their second amended cross-complaint (SACC).

The SACC asserts the same four causes of action and alleges that Cross-Complainants entered into a lease agreement with Chamunda prior to the incidents giving rise to Plaintiffs' complaint, wherein Chamunda agreed to defend and indemnify Cross-Complainants from and against any and all liabilities, responsibilities, or claims arising from their use and occupancy of the Property, the conduct of their business, from any activity, work, or thing done, permitted, or suffered in or about the Property, or any breach or default in the performance of any obligation to be performed under the lease. (SACC, ¶ 7, Ex. A.) Notwithstanding this provision, Cross-Complainants allege Chamunda refused to so defend and indemnify Cross-Complainants. (SACC, ¶ 30.)

On September 23, 2024, Chamunda filed its answer to the SACC.

On July 21, 2025, Plaintiffs filed a notice of settlement of the entire case. This filing was rejected by the Clerk because it was filed by an attorney who was not counsel of record.

On February 26, 2026, Chamunda filed its notice of settlement and present motion for determination of good faith settlement.

On June 9, 2026, Cross-Complainants filed their opposition.

On June 23, 2026, Chamunda filed its reply.

II. Legal Standard

Standard for Determination of Good Faith Settlement – California Code of Civil Procedure section 877.6, subdivision (a)(1) provides that "[a]ny party to an action wherein it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff . . . and one or more alleged tortfeasors or co-obligors. . . .""A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault." (Code Civ. Proc., § 877.6, subd. (c).) Although a determination that a settlement was in good faith does not discharge any other party from liability, "it shall reduce the claims against the others in the amount stipulated" by the settlement. (Id., § 877, subd. (a).)

An important caveat is that Section 877.6 does not, by its plain language, bar claims for contractual indemnity; it is limited to claims for "equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault." Claims for express indemnity based in contract do not sound in equity and are based on the contractual language, not on determination of comparative fault. (See also Bay Development, Ltd. v. Superior Court (1990) 50 Cal.3d

1012, 1032 (“As the C. L. Peck court observed, neither section 877.6 nor American Motorcycle, supra, 20 Cal.3d 578, limits the authority of parties voluntarily to enter into express indemnification agreements. Such agreements often provide an efficient means of allocating responsibility. When an indemnitee under such an agreement reasonably relies on express terms in the agreement in conducting its affairs, it would be unfair to permit a party that has agreed to indemnify to escape its express contractual obligations by entering into a partial settlement.”).)

Assuming Section 877.6 applies, factors to consider in determining if a settlement was made in good faith include “a rough approximation of plaintiffs’ total recovery and the settlor’s proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial.” (Tech-Bilt, Inc. v. Woodward-Clyde & Associates (1985) 38 Cal.3d 488, 499.) “Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.” (Ibid.)

The evaluation of whether a settlement was made in good faith is required to “be made on the basis of information available at the time of settlement.” (Tech-Bilt, Inc., supra, 38 Cal.3d at 499.) “[A] court not only looks at the alleged tortfeasor’s potential liability to the plaintiff, but it must also consider the culpability of the tortfeasor vis-à-vis other parties alleged to be responsible for the same injury.” (TSI Seismic Tenant Space, Inc. v. Superior Court (2007) 149 Cal.App.4th 159, 166.) “Potential liability for indemnity to a nonsettling defendant is an important consideration for the trial court in determining whether to approve a settlement by an alleged tortfeasor.” (Ibid.)

“The party asserting the lack of good faith shall have the burden of proof on that issue.” (Code Civ. Proc., § 877.6, subd. (d).) The party asserting the lack of good faith can establish that the proposed settlement was not a settlement made in good faith by showing the settlement is so far “out of the ballpark” in relation to the Tech-Bilt factors as to be inconsistent with the equitable objectives of the statute. (Tech-Bilt, Inc., supra, 38 Cal.3d at 499-500.)

“A motion or application for determination of good faith settlement may include a request to dismiss a pleading or a portion of a pleading. The notice of motion or application for determination of good faith settlement must list each party and pleading or portion of pleading affected by the settlement and the date on which the affected pleading was filed.” (Cal. Rules of Court, rule 3.1382.)

III. Discussion

Application – Chamunda seeks an order determining that the settlement between Chamunda and Plaintiffs was made in good faith, and requests dismissal with prejudice of all complaints and equitable indemnity claims sought in the SACC asserted against Chamunda in this action. (Motion, p. 1:3-8.) Notably, Plaintiffs did not name Chamunda as a defendant, and the only claims against Chamunda in this matter are the claims asserted in Cross-Claimants’ SACC. (Motion, p. 1:16-20.)

On July 16, 2025, Chamunda, Plaintiffs, and Cross-Complainants participated in a mediation. (Motion, p. 1:21.) After the mediation, a settlement was purportedly reached through arm’s length negotiations of counsel, and Chamunda asserts that all parties agreed to the terms, which included that the settlement was global as to all claims, including Cross-Complainant’s claims against Chamunda. (Motion, p. 1:22-23.)

However, Cross-Complainants oppose Chamunda’s request, arguing the global settlement agreed upon did not include Cross-Claimants’ claims against Chamunda, and that the proposed settlement improperly seeks to bar their claims for express contractual indemnity and breach of contract against Chamunda. (Motion, p. 1:23-25 ; Opp., p. 2:13-14.)

To the extent the Motion seeks to bar all claims in the SACC, it must be denied. The Opposition cites express indemnity provisions in the lease between Cross-Complainants and Chamunda, and Chamunda does not dispute the existence or effect of this language in reply. (Opp., p. 4.) Indeed, Chamunda's Reply does not counter the authority that express indemnification claims are not subject to Section 877.6, and recalibrates the relief sought to barring the SACC's claims for equitable indemnity and declaratory relief. ("Here, even the express indemnity claims alleged by Shivrani Trust are not a bar to a finding of good faith settlement. Shivrani Trust's Second Amended Cross-Complaint asserts causes of action for Express Written Indemnity, Full or Partial Equitable Indemnity, Declaratory Relief, and Breach of Contract. A finding of good faith settlement would still bar the claims for or Partial Equitable Indemnity and Declaratory Relief. The survival of the contract causes of action is not sufficient justification to conclude that the settlement between Chamunda and Plaintiffs was made in bad faith." (Reply at 5 (emphasis added).)

Accordingly, the Motion is denied to the extent it seeks to bar the SACC's claims for Express Written Indemnity and Breach of Contract. The Motion is further denied as to the SACC's request for Declaratory Relief based on the provisions of the written agreement between the parties.

This does not entirely dispose of the Motion. As both sides appear to acknowledge, Seciton 877.6 would apply to the SACC's claim for equitable indemnity, and the portion of the declaratory relief claim that is grounded in equitable indemnity. Thefore the Court will evaluate the settlement in light of the Tech-Bilt factors.

a. Factor 1 – Amount Paid in Settlement

The Court notes that the amount to be paid in settlement is $65,000. Chamunda argues that $65,000 is a fair representation of its proportional liability because the identity of the persons involved in the beating and setting on fire of Decedent is unclear, was not disclosed by evidence known at the time settlement was reached, the Medical Examiner's report ruled Decedent's death a homicide, and the investigating detective Julia Levenson testified in her deposition that Decedent was set on fire. (Motion, p. 4:21-25; Boyd Decl., Exs. A, B.) Chamunda further argues it was not present in Decedent's room at the time of the incident, there is no evidence it had advance notice that the unknown perpetrators would commit such acts, and without any evidence of notice produced by Plaintiffs, Chamunda cannot be held to be directly responsible for Plaintiffs' wrongful death damages. (Motion, p. 4:26-5:12.)

The Court further notes that Cross-Claimants do not object to this amount as being a fair amount paid in settlement.

The Court finds that as to any present or future claim Plaintiffs would have against Chamunda directly, $65,000 appears reasonable.

Accordingly, the Court finds this factor militates in favor of finding good faith.

b. Factor 2 – Allocation of Settlement Proceeds

The Court notes that the total settlement payment of $65,000 is to be divided equally between Plaintiff Tykese Davis and Plaintiff Eric Terell Davis, with each to receive $32,500, determined after good faith negotiations between counsel for Plaintiffs and counsel for Chamunda. (Motion, p. 3:5-10.) Because there are two Plaintiffs and no other parties are seeking monetary recovery for damages arising from the incident, the Court finds that an equal split of the settlement proceeds is a fair and reasonable allocation.

Cross-Complainants' opposition does not address this issue.

Accordingly, the Court finds this factor militates in favor of finding good faith.

c. Factor 3 – Settlement Amount Versus Trial Amount

Chamunda argues the evidence known at the time of the settlement was not likely to establish a high amount of damages at trial. Chamunda contends that the funeral costs for Decedent amounted to $12,000. (Boyd Decl., Ex. C, p. 4:8-11.) However, Chamunda states that Plaintiffs are both incarcerated adults, being 31 and 33 years of age respectively on the date of the subject incident, neither could recall how much money or how often Decedent provided financial support to them, and Decedent was unemployed the last ten years of her life. (Motion, p. 6:9-14.) Chamunda also states Plaintiffs claimed receiving financial support from their mother in terms without any specific numbers, that the amount, interval, and duration of financial support was vague, and there is no evidence Decedent was able to visit her sons during their incarceration to provide in-person emotional support. (Motion, p. 6:16-22.)

Cross-Claimants' opposition does not speak to this factor.

None of the parties have made a fact-based estimate as to what the potential amount awarded at trial would likely be. However, in light of the facts and evidence establishing the cause of Decedent's death as an intentional criminal act of another, the uncertainty as to whether Chamunda had any notice of the incident or heightened foreseeability that would impose a duty on Chamunda for the criminal acts of others, no evidence as to the specific amount of financial support provided to Plaintiffs from Decedent, the vague claims of emotional support, and the statute of limitations barring Plaintiffs from bringing a wrongful death claim against Chamunda, this Court finds that $65,000 for settlement of Plaintiffs potential claims against Chamunda is reasonable.

Accordingly, this factor militates in favor of a determination of good faith.

d. Factor 4 – Financial Conditions

Chamunda claims the only source of income for the present settlement is the $65,000 in funds offered by BiBerk Insurance. Chamunda ceased all business operations in April of 2023, and thereafter did not operate or make any profit. (Solkani Decl., ¶ 3.) The limited liability company was officially closed in February of 2023, and at the time, it did not own any assets, cash reserves, equipment, artwork, financial investments, land, financial interest or ownership interest in any other companies or other valuable property. (Solkani Decl., ¶¶ 3-4.) Chamunda also claims at the time it was closing business and after, no assets were distributed to any members of the limited liability company because there were no assets to distribute. (Solkani Decl., ¶ 4.) Chamunda LLC was dissolved and a Certificate of Cancellation was issued by the Secretary of State on April 8, 2024. (Solkani Decl., Ex. A.)

Cross-Complainants' opposition does not speak to this issue.

Accordingly, the Court finds this factor militates in favor of finding good faith.

e. Factor 5 – Insurance Policy Limits

Chamunda states that its insurer, BiBerk Insurance, issued a Reservation of Rights regarding Plaintiffs' claims and takes the position that Chamunda does not have any insurance funds available from its BiBerk Insurance policy that cover Plaintiffs' claims, and that BiBerk is only providing a defense to Chamunda and contributing funds to effectuate a global settlement of all claims in this litigation. (Motion, p. 2:24-3:3.) Chamunda further claims no other available insurance policies would provide coverage for the subject accident. (Solanki Decl., ¶ 2.)

Cross-Complainants' opposition takes no position on this issue.

Accordingly, the Court finds this factor militates in favor of finding good faith.

f. Factor 6 – Collusion, Fraud, or Tortious Conduct

Boyd’s declaration makes clear that the settlement was reached through an arms-length negotiation, in which counsel for all parties were involved. Further, Chamunda states that the settlement, being a straightforward payment on Chamunda’s behalf, is reflective of the parties’ desire to avoid the ongoing costs of litigation, and that neither entered into the settlement to prejudice Cross-Complainants as a nonsettling party. (Motion, p. 9:22-24.)

Cross-Complainants make no specific argument that the settling parties acted in collusion, with intent to defraud, or tortiously.

Accordingly, the Court finds that this factor militates in favor of finding good faith.

g. Factor 7 – Total Recovery and Proportional Liability

The Court notes that Plaintiffs agreed to dismiss their claims with prejudice and release Chamunda from any and all claims, known and unknown, in this matter in exchange for the total payment settlement. (Motion, p. 3:4-5.)

Chamunda argues its proportional liability is limited because of the vagueness and lack of evidence of damages, and the circumstances surrounding Decedent’s death. Further, Chamunda states in its motion that “[t]he subject accident occurred on January 18, 2023 so the statute of limitations for Plaintiffs’ wrongful death claims expired on January 18, 2025. Plaintiffs failed to name Chamunda as a defendant to the operative Complaint and failed to allege any causes of action against Chamunda. Plaintiffs’ claims against Chamunda are barred by the applicable two (2) year statute of limitations set forth in Code of Civil Procedure section 335.1.” (Motion, p. 6:3-7.)

Of the factors for consideration, “[m]ost significant…is the settlor’s potential liability for indemnity to the other alleged tortfeasors. This factor is ‘an important consideration for the trial court in determining whether to approve a settlement.’ [Citation.]” (Long Beach Mem'l Med. Ctr. v. Superior Ct. (2009) 172 Cal.App.4th 865, 875.)

Chamunda’s arguments regarding its proportionate liability under a theory of equitable indemnity are well-taken, and warrant granting the Motion as to that limited basis. Cross-Complainants do not appear to challenge approval of the good faith settlement as to their equitable indemnity claims, but solely to the contractual based claims. (See Opposition, at 3-4.) Accordingly, this factor militates in favor of good faith.

.

IV. Conclusion

Cross-Defendant Chamunda LLC’s Motion for Determination of Good Faith Settlement is GRANTED in part, and DENIED in part. The Motion is granted in that the Court determines that the settlement was made in good faith and pursuant to California Rules of Court, rule 3.182 and serves to preclude the equitable indemnity claim sought in the SACC. The Motion is denied in that the settlement does not bar the claims for express contractual indemnity and breach of contract in the SACC. Furthermore, the claim for declaratory relief in the SACC is barred with respect to a declaration of obligations grounded in the claim for equitable indemnity. The declaratory relief claim otherwise survives.